

ACTION PLAN MONITORING TOOL

Sector: Local Government Audit Sector
Team: LGU - Manila
Audited Agency: City of Manila
Audit Period: CY 2023
AAR Date: June 3, 2024

AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION										RESULTS OF COA VALIDATION				
Reference	Audit Observations	Audit Recommendations	Action Plan	AGENCY ACTION PLAN		Status of Implementation	Revision for Partial/Delay/ Non-Implementation, if available	Action Taken/Action to be Taken	Date of Follow up	Status of Imp.	Actual Imp. Date		Remarks	
				Person/Dept. Responsible	Target Implementation Date						From	To		
AAR 2023 Observation No. 1 Page 79	1. The accuracy of the Cash-in-Bank (CIB) accounts balance as of December 31, 2023, amounting to P9.237 billion could not be established due to: 1) unreconciled variance of P106.634 million between books balances and the result of bank confirmations, and 2) accumulated unadjusted book reconciling items for several years totaling P182.123 million, mainly due to lapses in the preparation and submission of Bank Reconciliation Statements (BRS) contrary to Section 74 of Presidential Decree (PD) No. 1445. Thus, affected the fair presentation of the FS.	We recommended and Management agreed that the OCAT and the CTO:		OCAT and CTO	2023	2024	Fully Implemented	Submitted the Bank Reconciliation Statements for the CIB Accounts affected	July 31, 2024	Not Implemented	2024	2024	Although the OCAT submitted Bank Reconciliation Statements, the book balances of the Cash-in-Bank accounts remain unadjusted.	
		1.7.1. Reconcile the variances between the balances per bank confirmations and book balance, and accordingly affect the necessary adjustments to reflect correct ending balances of CIB accounts;												
		1.7.2. Cause the timely preparation and submission of monthly BRSs for each bank account pursuant to Section 74 of P.D. No. 1445; and	OCAT and CTO	2023	2024	Fully Implemented	Submitted the Bank Reconciliation Statements for the CIB Accounts affected	July 31, 2024	Fully Implemented	2024	2024			
		1.7.3. Formulate a document tracking system to establish accountability for records to provide an effective internal control tool for documentation and recording of the City's transactions.		OCAT and CTO	2023	2024	Fully Implemented	The OCAT and CTO is currently implementing a document tracking system that will ensure the proper and timely recording of the financial transactions of the City	July 31, 2024	Fully Implemented	2024	2024		
AAR 2023 Observation No. 2 Page 82	2. The accuracy, completeness, and reliability of the year-end balance of AP amounting to P4.577 billion could not be determined due to net understatement variance of P525.234 million from confirmation results with contractors/suppliers as against balances per books contrary to Paragraph 27 of International Public Sector Accounting Standard 1 (IPSAS). Thus, affecting the fair presentation of the FS.	We recommended that Management direct:		OCAT	2023	2024	Fully Implemented	The OCAT already undertaken actions to properly account the payables per Supplier. The amount of the variance is already recorded thru JEV No. 100-24-04-06 dated June 15, 2024	July 31, 2024	Fully Implemented	2024	2024		
		The OCAT to:												
		2.9.1.1. Identify the causes of variances between recorded accounts payable and the contractors/suppliers' confirmed balances and reconcile the same;												
		2.9.1.2. Coordinate with the City General Services Office as to status of deliveries of goods and services and recognize the corresponding liability if no payment had been made; and	OCAT	2023	2024	Fully Implemented	The OCAT is already in close coordination with CGSO regarding the status of deliveries of goods and services procured by the City for recording purposes	July 31, 2024	Fully Implemented	2024	2024			
		2.9.1.3. Maintain a separate SL for each contractor/supplier for proper monitoring of each outstanding payable and status of accounts.	OCAT	2023	2024	Fully Implemented	The OCAT already undertaken actions to properly account the payables per Supplier.	July 31, 2024	Fully Implemented	2024	2024			
		2.9.2. The City General Service Office to promptly inform the OCAT of deliveries of procured goods and services and furnish the latter with required documents to support the timely recording of transactions.	CGSO	2023	2024	Fully Implemented	The OCAT is already in close coordination with CGSO regarding the status of deliveries of goods and services procured by the City for recording purposes	July 31, 2024	Fully Implemented	2024	2024			
AAR 2023 Observation No. 3 Page 85	3. Insufficient imposition of RPT and SET by the City due to: 1) misplaced application of the Assessment Levels (ALs) prescribed under Section 12 of Ordinance No. 8931, s.Series of 2013; and 2) omission of 1,130 RPUs in the Assessment Roll (AR) contrary to Section 2, Chapter II, Manual on Real Property Appraisal and Assessment Operations (MRPAAO), , thereby diminishing the City's earnings to be utilized to finance its programs/projects/activities (PPAs).	The Office of the City Assessor –		Office of the City Assessor	2024	2024		The City Assessor Office is currently reviewing the assessment levels of the purposes of proper RPT and SET imposition	July 31, 2024	Not Implemented	2024	2024	The review of the assessment levels for the purposes of RPT and SET imposition is currently being undertaken by the Office of the City Assessor.	
		3.16.1.1. Ensure that Assessment Levels and Assessed Values are accurately computed and provided;												
		3.16.1.2. Submit to the Auditor's Office the updated copies of Tax Declaration as proof of corrections/updates made to the 452 RPUs;	Office of the City Assessor	2024	2024		The City Assessor's Office is currently in the process of completing the required Tax Declarations for audit. As of 31 July 2024, we are partially submitting 85 adjusted Tax Declaration. We commit to submit the lacking documents as soon as possible	July 31, 2024	Not Implemented	2024	2024	Out of 452 RPUs, only 85 have adjusted Tax Declaration		
		3.16.1.3. Appraise and assess the RPUs not included in the Assessment Roll and submit copies of tax declaration as proof appraisal and assessment;	Office of the City Assessor	2024	2024		The City Assessor Office is currently reviewing the assessment levels of the purposes of proper RPT and SET imposition	July 31, 2024	Not Implemented	2024	2024	The review of the assessment levels for the purposes of RPT and SET imposition is currently being undertaken by the Office of the City Assessor.		
		3.16.1.4. Review other tax maps not included in the sample to ensure that RPUs prescribed therein are included in the AR; and	Office of the City Assessor	2024	2024		The City Assessor Office is currently reviewing the assessment levels of the purposes of proper RPT and SET imposition	July 31, 2024	Not Implemented	2024	2024	The review of the assessment levels for the purposes of RPT and SET imposition is currently being undertaken by the Office of the City Assessor.		
		3.16.1.5. Henceforth, ascertain that RPUs in the tax maps are included in the AR		Office of the City Assessor	2024	2024		The City Assessor Office is currently reviewing the assessment levels of the purposes of proper RPT and SET imposition	July 31, 2024	Not Implemented	2024	2024	The review of the assessment levels for the purposes of RPT and SET imposition is currently being undertaken	

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		3.16.2. The Office of the City Treasurer charge and collect from taxpayers the amount of P3,396,539.51 that were under imposed in CY 2023 due to erroneous application of the Assessment Level, and henceforth, ensure that correct amount of taxes is imposed/collected.		CTO		2024	2024		July 31, 2024	Not Implemented		2024	The review of the assessment levels for the purposes of RPT and SET Imposition is currently being undertaken.		
AAR 2023 Observation No. 4 Page 90	4. Out of 222 Gender and Development (GAD) Programs/Projects/Activities (PPAs), 22 were unimplemented and 84 were not reported in the GAD Accomplishment Report (AR) or have no status contrary to RA No. 9710. Thus, the City's objective of ensuring awareness and sustaining support for gender and development, woman's empowerment and response to gender issues were not fully realized.	We recommended that Management direct/instruct the GFPS to: 4.12.1. Regularly monitor and evaluate the utilization of the GPB to ensure that PPAs are fully implemented as planned and challenges that cause non-implementation, if any, are identified and addressed;		Office of the City Mayor		2024	2024		July 31, 2024	Not Implemented	2024	2024	Validation of the actions on the recommendation is on-going.		
		4.12.2. Ensure that only PPAs listed in the approved GPB will be charged against the GAD Fund; and 4.12.3. Comply with the provisions of the JMCs discussed and RA No. 9710 and its IRR.		Office of the City Mayor		2024	2024		July 31, 2024	Not Implemented	2024	2024	Validation of the actions on the recommendation is on-going.		
AAR 2023 Observation No. 5 Page 93	5. A total of P472,416 million withheld for CY 2023 remittances to the BIR, GSIS, Pag-IBIG and PhilHealth have not been remitted by the City contrary to existing rules and regulations.	5.11. We recommended and Management agreed to ensure prompt and full remittance of all withholding taxes, contributions, premium payments, loan amortization and other amounts due to the BIR, GSIS, Pag-IBIG and PhilHealth pursuant to the above-mentioned regulations.		OCAT and CTO		2024	2024	Partially Implemented	Issues related to employees details and Information (for Clarif Items) for GSIS. On the other hand the amount payable to BIR reflects the withholding taxes related to unpaid payable to different suppliers.	The OCAT in coordination with CTO is continuously remitting the remaining unremitted amount to date.	July 31, 2024	Not Implemented	2024	2024	As the 31 July 2024, the bulk of the amount due to BIR pertains to withholding tax for payables to supplier yet to be paid. As to the amount due to GSIS, Pag-IBIG, and PhilHealth, the unremitted amounts pertain to clarificatory items which arose due to personnel movement in the City such as hiring of new and
AAR 2023 Observation No. 6 Page 95	6. The City was unable to identify and appropriate various PPAs for LCCAP in CY 2023, which is not in consonance with Section 14 of Republic Act (RA) No. 9729, otherwise known as the Climate Change Act of 2009, as amended.	We recommended and Management agreed to: 6.11.1. Promptly create the City's LCCAP Core Team in accordance with Paragraph 3.1.1 of DILG-MC No. 2014-135 and Section 7 of the City's LCCAP to facilitate the proper planning, prioritization, funding, implementation and monitoring/assessment of proposed climate change PPAs; and 6.11.2. Ensure that approved climate change PPAs are aligned with the City's LCCAP and funded from the City's IRA (now NTA) in accordance with Section 14 of RA No. 9729.		Office of the City Mayor				Not Implemented	The management is currently in the process of creating the Core Team. The necessary documents will be submitted to COA once finalized and approved.		July 31, 2024	Not Implemented	2024	2024	As of this writing, no LCCAP Core Team was created.
CY 2022 AAR, Observation No. 6, Page 81	7. The City has not remitted P393,564 million representing the amounts withheld as of December 31, 2022 for the accounts of the BIR, GSIS, Pag-IBIG and PhilHealth, contrary to the aforementioned legal prescriptions.	We reiterated our recommendation that Management direct the OCAT and CTO to remit the P393,564 million to the BIR, GSIS, Pag-IBIG and PhilHealth without further delay.		OCAT and CTO				Partially Implemented	Issues related to employees details and Information (for Clarif Items) for GSIS. On the other hand the amount payable to BIR reflects the withholding taxes related to unpaid payable to different suppliers.	The OCAT in coordination with CTO is continuously remitting the remaining unremitted amount to date.	July 31, 2024	Not Implemented	2024	2024	As the 31 July 2024, the bulk of the amount due to BIR pertains to withholding tax for payables to supplier yet to be paid. As to the amount due to GSIS, Pag-IBIG, and PhilHealth, the unremitted amounts pertain to clarificatory items which arose due to personnel movement in the City such as hiring of new and
CY 2021 AAR, Observation No. 4, Page 83	8. Seven hundred twenty-three (723) cases of double payment of emergency subsidy/financial assistance (FA) to beneficiaries in COVID-19 lockdown translated to a total payment of PB 424 million in excess of the amounts legally authorized.	We recommended that Management: a. Establish the accountability for and recover the excess payment of emergency subsidy and FA; and		Office of the Mayor/ Manila Department of Social Welfare/ City Legal Office							July 31, 2024	Not Implemented	2024	2024	There's been no significant progress from management on this matter.

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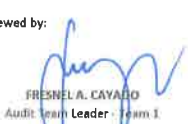
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CY 2019 AAR, Observation No. 1, Page 63	9. The City has not submitted 1,684 disbursement vouchers (DVs) and their supporting documents involving P2,275 billion, thereby limiting the extent of audit, preventing us to establish fully the validity of the underlying transactions, and forfeiting the benefit of, among others, timely detecting errors and deficiencies; identifying areas for improvement; and having input to assessments of accountability and decisions that need to be made. One thousand four hundred thirty-five (1,435) of these unsubmitted DVs in the amount of P2,142 billion pertain to the disbursements from CY 2015 to June 30, 2019 and are the accountabilities of the previous City Administrations.	b. In coordination with the DSWD, supply the missing beneficiary information necessary in the full validation of the payments of the subject emergency subsidy/FA. We recommended that Management: a. Direct the CTO to: • Produce and submit to the OCAT without further delay all the 288 DVs in Paragraph 1.7 of Observation No. 1; • Submit to the OCAT within the prescribed period all the DVs supporting the RCI; and b. Require the OCAT to: • Submit to the CAO without further delay all the 1,684 DVs specified in Paragraph 1.5 of Observation No. 1; and • Henceforth, submit to the CAO within the prescribed period all the DVs supporting the checks issued in the RCI with the list of original DVs still with the CTO, in the proper case, and stop the preparation of a separate schedule of DVs.	Office of the Mayor/ Manila Department of Social Welfare						July 31, 2024	Not Implemented	2024	2024	There's been no significant progress from management on this matter. As of 31 July 2024, records of CAO reveals that 1,188 DVs for the period 2015 to 2019 with a total amount of Php2,026,474,026.00 remains unsubmitted. As of 31 July 2024, records of CAO reveals that 1,188 DVs for the period 2015 to 2019 with a total amount of Php2,026,474,026.00 remains unsubmitted. As of 31 July 2024, records of CAO reveals that 1,188 DVs for the period 2015 to 2019 with a total amount of Php2,026,474,026.00 remains unsubmitted. As of 31 July 2024, records of CAO reveals that 1,188 DVs for the period 2015 to 2019 with a total amount of Php2,026,474,026.00 remains unsubmitted.
			CTO										
			CTO										
			OCAT and CTO	2024	2024	Partially Implemented	The OCAT in coordination with CTO are continuously submitting these unsubmitted vouchers. As of date only 0.46% for DBP and 0.66% for LBP with a total amount of 67,404,540.95 still unsubmitted. Rest assured these vouchers will be submitted once these vouchers are in possession of OCAT.						
			OCAT and CTO	2024	2024	Partially Implemented	The OCAT in coordination with CTO will undertake necessary measures to comply the prescribed period stated in the AOM.						
CY 2018 AAR, Observation No. 15, Page 91	10. The creation, organization and operation of an Internal Audit Service (IAS) mandated under Section 2 of RA No. 3456 as amended by RA No. 4177 was not undertaken by the City, thus, Management was not accorded with the assistance in the achievement of an efficient and effective fiscal administration and performance of agency affairs and functions.	We recommended that the LCE facilitate the creation, organization and operation of the City's IAS as required under RA No. 3456 as amended by RA No. 4177, to assist in the achievement of an efficient and effective fiscal administration and performance of City's affairs and functions.	Office of the City Mayor			Ongoing			July 31, 2024	Not Implemented	2024	2024	The creation, organization, and operation of the IAS is yet to be undertaken by the City.
CY 2018 AAR, Observation No. 16, Page 92	11. The excess amount of collections/proceeds from sale of bid documents and other related fees amounting to P19,958 million as of December 31, 2018 was still being maintained under the TF instead of transferring the same to the GF pursuant to Item 6.2 of DBM Circular No. 2004-5A.	We recommended that Management direct the City Treasurer to cause the immediate transfer of the unutilized amount of the proceeds from the collection of bid documents and related fees from the TF to the GF.	OCAT	2024	2024	Fully Implemented	The OCAT already determined the correct amount of collection/proceed from sale of bid documents and other related fees to be transferred to the GF amounting to Php6,928,146.93. The said amount is already transferred to the GF thru JEV No. 300-24-04-06 dated 15 June 2024.		July 31, 2024	Fully Implemented	2024	2024	

Prepared by:


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Date: 31 August 2024

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Date:

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Date: